

Dakini Health Foods v. Paschimanchal Vidyut Vitran Nigam Ltd. — excess security refund after load reduction

High Court of Judicature at Allahabad · Division Bench · 10 February 2021 · Writ - C No. 4467 of 2021 · Writ - C No. 4467 of 2021 · **Writ disposed without merits opinion; respondent no.2 directed to examine the excess-security refund claim in accordance with law within six weeks.**

HEADNOTE

A Division Bench disposed of a writ seeking refund of excess security after load was reduced from 800 KVA to 600 KVA, without construing clause 4.20 of the U.P. Electricity Supply Code, 2005 or section 47 of the Electricity Act, 2003. On the licensee's statement that the grievance would be examined, the Court directed respondent no.2 to look into the claim and pass an appropriate order strictly in accordance with the relevant provisions, preferably within six weeks.

FACTUAL SUMMARY

M/s Dakini Health Foods held an 800 KVA industrial supply from Paschimanchal Vidyut Vitran Nigam Limited. After production fell, the licensee reduced the load to 600 KVA on 5 February 2020. The petitioners sought a writ for refund of excess security with 18% interest from April 2019, citing the Cost Data Book of 8 July 2019, clause 4.20 of the U.P. Electricity Supply Code, 2005, and section 47 of the Electricity Act, 2003. The excess had not been refunded; licensee's counsel said the grievance would be examined.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.20

excess security refund on load reduction

HOLDING

Without expressing any opinion on the merits, and on the licensee's consent that the grievance would be examined, the writ seeking refund of excess security after load reduction from 800 KVA to 600 KVA was disposed of with a direction to respondent no.2 to look into the claim and pass an appropriate order strictly in accordance with the relevant provisions (clause 4.20 of the Supply Code, the Cost Data Book, and section 47 of the Electricity Act, 2003), preferably within six weeks. ¶ 1-2

PRINCIPLE TAGS

security-refund-after-load-reduction-consider-in-accordance-with-law

The Court did not decide whether excess security is refundable on load reduction or at what interest. It relegated the clause 4.20 / Cost Data Book / section 47 claim to the licensee to examine and decide in accordance with the relevant provisions within six weeks. ¶ 1-2

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER EXCESS SECURITY DEPOSITED FOR 800 KVA IS REFUNDABLE AFTER LOAD REDUCTION TO 600 KVA, AND ON WHAT COST DATA BOOK / CLAUSE 4.20 CONSTRUCTION

Court expressly declined to opine on the merits. ¶ 1-2

NOT DECIDED — ENTITLEMENT TO INTEREST AT 18% PER ANNUM FROM APRIL 2019 ON THE ALLEGED EXCESS SECURITY

Claimed in the writ; not adjudicated. Catalog tag on section 47(4) bank-rate interest was not applied. ¶ 1-2

